

**Problem Set 7**  
Winter 2020

**Issued:** Tuesday, March 3

**Due:** Friday, March 13

**Reading:** Chapter 8 (except Section 8.7), Chapter 9 (Sections 9.1-9.5 and 9.7)

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Full credit: 110 points (out of 240) point.

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**Problem 7.1** (20 points)

Let  $p$  and  $q$  be probability densities w.r.t. the  $d$ -dimensional Lebesgue measure, and let  $f : \mathbb{R}^d \rightarrow \mathbb{R}$ . We would like to compute

$$\mu_f := \mathbb{E}_p[f(X)], \quad \text{where } X \sim p.$$

Here,  $\mathbb{E}_p$  denotes the expectation under density  $p$  for  $X$ . Let  $w(X) := p(X)/q(X)$  be the likelihood ratio based on the two densities and recall the change of measure formula:

$$\mathbb{E}_p[f(X)] = \mathbb{E}_q[w(X)f(X)].$$

The idea of *importance sampling* is to generate an i.i.d. sample  $X_1, \dots, X_n \sim q$  and approximate  $\mu_f$  with

$$\hat{\mu}_f^{(n)} := \frac{1}{n} \sum_{i=1}^n w(X_i)f(X_i),$$

Here,  $w(X_i)$  are referred to as importance weights. A common case is where the density  $p(\cdot)$  and  $q(\cdot)$  are only specified up to constants. In this case, the weights are only specified up to a constant, say  $w(X) = Cw_0(X)$  where  $w_0(\cdot)$  can be computed. Then, we consider

$$\tilde{\mu}_f^{(n)} := \frac{\sum_{i=1}^n w(X_i)f(X_i)}{\sum_{i=1}^n w(X_i)} = \frac{\sum_{i=1}^n w_0(X_i)f(X_i)}{\sum_{i=1}^n w_0(X_i)}.$$

Answer the following, assuming that any needed moment is finite:

- (a) Show that both  $\hat{\mu}_f^{(n)}$  and  $\tilde{\mu}_f^{(n)}$  are consistent for  $\mu_f$ .
- (b) Derive asymptotic distributions for  $\sqrt{n}(\hat{\mu}_f^{(n)} - \mu_f)$  and  $\sqrt{n}(\tilde{\mu}_f^{(n)} - \mu_f)$ .

**Problem 7.2** (15 points)

Keener 8.23.

23. Suppose  $X_1, \dots, X_n$  are i.i.d. Poisson variables with mean  $\lambda$  and we are interested in estimating  $p = P_\lambda(X_i = 0) = e^{-\lambda}$ .
- a) One estimator for  $p$  is the proportion of zeros in the sample,  $\tilde{p} = \#\{i \leq n : X_i = 0\}/n$ . Find the limiting distribution for  $\sqrt{n}(\tilde{p} - p)$ .
  - b) Another estimator would be the maximum likelihood estimator  $\hat{p}$ . Give a formula for  $\hat{p}$  and determine the limiting distribution for  $\sqrt{n}(\hat{p} - p)$ .
  - c) Find the asymptotic relative efficiency of  $\tilde{p}$  with respect to  $\hat{p}$ .

**Problem 7.3** (15 points)

Assume that  $X_n \sim \text{Beta}(n, n)$ . Use the delta method to show that

$$2\sqrt{2n}\left(X_n - \frac{1}{2}\right) \xrightarrow{d} N(0, 1).$$

*Hint: Recall that  $X_n$  can be written as  $X_n = \frac{Y_n}{Y_n + Z_n}$  where  $Y_n$  and  $Z_n$  are independent  $\text{Gamma}(n, 1)$  random variables. Each of  $Y_n$  and  $Z_n$  can be written as a sum of exponential random variables. Use the multivariate CLT to derive the asymptotic distribution of  $[X_n \ Y_n]^T \in \mathbb{R}^2$ . Then use the delta method.*

**Problem 7.4** (15 points)

Keener 8.26.

26. Let  $X_1, \dots, X_n$  be i.i.d. Poisson with mean  $\lambda$ , and consider estimating

$$g(\lambda) = P_\lambda(X_i = 1) = \lambda e^{-\lambda}.$$

One natural estimator might be the proportion of ones in the sample:

$$\hat{p}_n = \frac{1}{n} \#\{i \leq n : X_i = 1\}.$$

Another choice would be the maximum likelihood estimator,  $g(\bar{X}_n)$ , with  $\bar{X}_n$  the sample average.

- Find the asymptotic relative efficiency of  $\hat{p}_n$  with respect to  $g(\bar{X}_n)$ .
- Determine the limiting distribution of

$$n[g(\bar{X}_n) - 1/e]$$

**Problem 7.5** (10 points)

Keener 8.27.

27. Let  $X_1, \dots, X_n$  be i.i.d. from  $N(\theta, 1)$ , and let  $U_1, \dots, U_n$  be i.i.d. from a uniform distribution on  $(0, 1)$ , with all  $2n$  variables independent. Define  $Y_i = X_i U_i$ ,  $i = 1, \dots, n$ . If the  $X_i$  and  $U_i$  are both observed, then  $\bar{X}$  would be a natural estimator for  $\theta$ . If only the products  $Y_1, \dots, Y_n$  are observed, then  $2\bar{Y}$  may be a reasonable estimator. Determine the asymptotic relative efficiency of  $2\bar{Y}$  with respect to  $\bar{X}$ .

**Problem 7.6** (20 points)

Find a variance-stabilizing transformation for the following: The sample mean  $\bar{X}_n$  for i.i.d. samples from  $\text{Ber}(\theta)$ . (Here we want the transformed statistic to have asymptotic variance independent of  $\theta$ .)

**Problem 7.7** (50 points)

(5+10+30+5) Consider a linear regression model with random design:

$$y_i = \beta_*^T z_i + w_i, \quad z_i \stackrel{\text{iid}}{\sim} N(0, I_d), \quad w_i \stackrel{\text{iid}}{\sim} N(0, \sigma^2)$$

for  $i = 1, \dots, n$ , where  $z_i$  and  $w_i$  are also independent. Here,  $\beta_* \in \mathbb{R}^d$  is the “true” regression coefficient. We observe  $(y_i, z_i)$  and would like to estimate  $\beta_*$ . Define the *ridge regression estimator* as

$$\hat{\beta}_n = \arg \min_{\beta \in \mathbb{R}^d} \frac{1}{n} \sum_{i=1}^n (y_i - \beta^T z_i)^2 + \lambda \|\beta\|_2^2 \quad (1)$$

where  $\|\beta\|_2^2 = \sum_{i=1}^d \beta_i^2$  and  $\lambda > 0$  is a fixed deterministic number.

- Show that the objective function in (1) is a strictly convex function of  $\beta$ . Conclude that the optimization problem has a unique solution  $\hat{\beta}_n$ . (The function is in fact strongly convex.)
- Show that  $\hat{\beta}_n \xrightarrow{P} \beta_0$  as  $n \rightarrow \infty$ , for a constant vector  $\beta_0 \in \mathbb{R}^d$  that you specify.
- Show that  $\sqrt{n}(\hat{\beta}_n - \beta_0) \xrightarrow{d} N(0, \Sigma_0)$  for a covariance matrix  $\Sigma_0 \in \mathbb{R}^{d \times d}$  that you specify.
- Adjust the estimator so that the new estimator is asymptotically consistent for estimating  $\beta_*$  (i.e., it converges to  $\beta_*$  in probability.)

*Hint: Assume the conditions we discussed for the consistency and asymptotic normality of M-estimators hold and use those results. Note that  $\beta_0$  is not equal to  $\beta_*$ .*

**Problem 7.8** (20 points)

Suppose that  $X_1, \dots, X_n$  are i.i.d from the normal location model  $N(\theta, 1)$ , and that we wish to estimate the critical or cutoff value  $g_a(\theta) = \mathbb{P}[X_1 \leq a]$ , where  $a \in \mathbb{R}$  is some fixed number.

- Let  $\Phi$  denote the CDF of the standard normal distribution. Show that the estimator

$$\delta_n(X) = \Phi \left( \sqrt{\frac{n}{n-1}} (a - \bar{X}_n) \right)$$

is an unbiased estimator of  $g_a(\theta)$ . Prove that  $\sqrt{n}(\delta_n - g_a(\theta)) \xrightarrow{d} N(0, \phi^2(a - \theta))$ , where  $\phi$  is the PDF of the standard normal.

- If we had doubts about the assumption of normality, we might prefer to use the non-parametric estimator  $\delta'_n(X) = \frac{1}{n} \# \{X_i \leq a\}$ , that simply counts the fraction of  $X_i$  that are less than or equal to  $a$ . Prove that

$$\sqrt{n}(\delta'_n - g_a(\theta)) \xrightarrow{d} N(0, \Phi(a - \theta)[1 - \Phi(a - \theta)]).$$

- Compute the ARE of  $\delta$  and  $\delta'$ . If  $X_i$  truly are Gaussian, how much is lost by the non-parametric estimator  $\delta'$ ?

*Hint: For showing unbiasedness in part (a) write  $\delta_n(X) = \mathbb{P}(Z \leq \dots \mid X_1, \dots, X_n)$  where  $Z$  is independent of  $X_1, \dots, X_n$  and has a proper distribution. For part (b), write  $\delta'_n$  as an average of indicator variables.*

**Problem 7.9** (5 points)

Suppose that for each  $\theta_0 \in \Theta$ , the set  $A(\theta_0)$  is the acceptance region of a level  $\alpha$  test for  $H_0 : \theta = \theta_0$ . For each sample point  $x$ , define  $S(x) = \{\theta \in \Theta \mid x \in A(\theta)\}$ . Show that the random set  $S(X)$  is a confidence set of level  $1 - \alpha$ .

**Problem 7.10** (30 points)

Suppose that  $X_1, \dots, X_n$  are independent exponential random variables with  $\mathbb{E}[X_i] = \beta t_i$  where  $t_1, \dots, t_n$  are known constants, and  $\beta > 0$  is an unknown parameter.

- (a) Show that the MLE of  $\beta$  is given by  $\hat{\beta}_n = \frac{1}{n} \sum_{i=1}^n X_i/t_i$ .
- (b) Prove that  $\sqrt{n}(\beta - \hat{\beta}_n) \xrightarrow{d} N(0, \beta^2)$ .
- (c) Suppose that we want to test  $H_0 : \beta = 1$  versus  $H_1 : \beta \neq 1$ . In order to do so, we consider the statistic

$$G(X_1, \dots, X_n) = \log p(X; \hat{\beta}_n) - \log p(X; 1),$$

where  $p(X; \beta) = \prod_{i=1}^n p(X_i; \beta, t_i)$  is the likelihood. Show that  $G(X) = n(\hat{\beta}_n - \log \hat{\beta}_n - 1)$ .

- (d) Show that when  $H_0$  is true, we have  $2G(X) \xrightarrow{d} \chi_1^2$ .

**Problem 7.11** (20 points)

For each of the following problems, compute the generalized likelihood ratio test, and compute its asymptotic distribution under the specified hypothesis  $H_0$ .

- (a) Let  $X_1, \dots, X_n$  be an i.i.d. sample of  $N(\mu_x, \sigma_x^2)$  variates, and let  $Y_1, \dots, Y_n$  be an i.i.d. sample of  $N(\mu_y, \sigma_y^2)$  variates. Consider testing  $H_0 : \mu_x = \mu_y$  and  $\sigma_x^2 = \sigma_y^2$ .
- (b) For  $i = 1, \dots, k$ , let  $X_{i1}, \dots, X_{in}$  be independent samples from Poisson distributions with means  $\theta_i$ , respectively. Consider testing  $H_0 : \theta_1 = \theta_2 = \dots = \theta_k$ .
- (c) Let  $X_1, \dots, X_n$  be an i.i.d. sample from the exponential distribution with parameter  $\theta$ , and  $Y_1, \dots, Y_n$  an i.i.d sample from the exponential distribution with parameter  $\mu$ . Consider testing  $H_0 : \mu = 2\theta$ .

**Problem 7.12** (20 points)

A random sample of  $n$  individuals are classified into three groups, with probabilities  $\theta^2$ ,  $2\theta(1 - \theta)$  and  $(1 - \theta)^2$  respectively, yielding the trinomial distribution over the group sizes  $(y_1, y_2, y_3)$ :

$$\mathbb{P}[Y_1 = y_1, Y_2 = y_2, Y_3 = y_3] = \frac{n!}{y_1! y_2! y_3!} \theta^{2y_1} [2\theta(1 - \theta)]^{y_2} (1 - \theta)^{2y_3}$$

for  $y_i \geq 0$  and  $y_1 + y_2 + y_3 = n$ . (This is known as the *Hardy-Weinburg* model in genetics.)

- (a) Find the MLE of  $\theta$ , and determine the asymptotic distribution  $\sqrt{n}(\hat{\theta}_n - \theta)$ .
- (b) Consider testing  $H_0 : \theta = \theta_0$  versus  $H_1 : \theta > \theta_0$ . Suppose that for some  $k$ , we have  $\mathbb{P}_{\theta_0}[2Y_1 + Y_2 \geq k] = \alpha$ . Show that the test that rejects  $H_0$  when  $2Y_1 + Y_2 \geq k$  is a UMP level  $\alpha$  test for  $H_0$  versus  $H_1$ .
- (c) Suppose that  $n$  is large, and  $\alpha = 0.05$ . Use asymptotic theory to find an approximate value for  $k$  in the UMP test from (b).